Indian Stock Market Fundamentals

Bluestock FinTech Internship – Week 2 | Prepared by: Lavanish

1. Stock market and major indices

A stock market is a regulated marketplace where investors buy and sell shares and other securities. The National Stock Exchange (NSE) and BSE Limited are India's two major stock exchanges. Nifty 50 tracks 50 selected companies listed on NSE, while the S&P BSE Sensex tracks 30 selected companies listed on BSE. An index summarises the price performance of its constituent companies; it is not the same as the entire market.

2. IPOs, valuation and per-share measures

Term	Meaning
IPO / SME IPO	An Initial Public Offering is a company's offer of shares to public investors. SME IPOs are offerings by eligible small and medium ente
Market capitalisation	Current share price × number of outstanding shares. It estimates the market value of a company's equity.
EPS	Earnings per share: profit attributable to ordinary shareholders divided by the weighted-average number of ordinary shares.
P/E ratio	Share price divided by earnings per share. It expresses how much the market pays for each unit of earnings.
P/B ratio	Share price divided by book value per share. It compares market value with accounting net assets per share.
Dividend	A distribution declared by a company to shareholders, subject to applicable approvals and rules.
Bonus issue	Additional shares distributed to existing shareholders without a cash payment for each bonus share.
Stock split	Each existing share is divided into multiple shares, usually reducing face value per share; by itself, it does not create company value.
Trading volume	Number of shares traded during a period. Volume measures activity, not whether a stock is good or bad.

3. Financial statements

Balance Sheet: shows assets, liabilities and equity at a point in time (Assets = Liabilities + Equity). **Profit & Loss Statement:** reports revenue, expenses and profit over a period. **Cash Flow Statement:** reports cash movements from operating, investing and financing activities. Profit and cash flow are related but not identical because accounting profit includes non-cash items and timing differences.

4. Basic financial ratios

Ratio	Formula	What it indicates
Net profit margin	Net profit ÷ Revenue × 100	Share of revenue retained as profit after expenses.
Current ratio	Current assets ÷ Current liabilities	Short-term asset coverage of short-term obligations.
Debt-to-equity	Total debt ÷ Shareholders' equity	Financial leverage; define which debt measure is used.
ROE	Net profit ÷ Average shareholders' equity × 100	Profit generated relative to equity invested.

Sources for further reading: NSE (https://www.nseindia.com), BSE (https://www.bseindia.com), SEBI Investor Education (https://investor.sebi.gov.in), Zerodha Varsity (https://zerodha.com/varsity/). This is educational material, not investment advice.